

Aimtron Electronics Ltd

NSE SME: AIMTRON | Electronics System Design & Manufacturing (ESDM)

Design-Led ESDM Play: Riding India's Electronics Manufacturing Super-Cycle into Defence and ODM

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 1,620	+32.4%
CMP: Rs. 1,224 (16 Jun 2026)	12-month horizon	from CMP of Rs. 1,224

CMP	Rs. 1,224	Market Cap	Rs. 2,523 Cr
52-week High / Low	Rs. 1,343 / Rs. 552	Stock P/E (TTM)	54.9x
Book Value / Share	Rs. 114	P/B Ratio	10.7x
ROCE (FY26)	27.6%	ROE (FY26)	23.6%
EV/EBITDA (est.)	~38x	Dividend Yield	0.00%
Face Value	Rs. 10	Promoter Holding	70.90%
FY26 Revenue	Rs. 301 Cr	FY26 PAT	Rs. 46 Cr
Order Book (Sep 25)	Rs. 464 Cr	Sector	Industrials / ESDM

Research Desk | MPM Institutional Research | Report Date: 16 Jun 2026 | Investment Horizon: 12 months | All figures Rs. Crores unless stated

2. INVESTMENT THESIS

- **Reason 1 — Design-led ESDM positioning with expanding ODM wins:** Aimtron's embedded-design capability differentiates it from pure-play EMS assemblers, enabling it to win high-value ODM contracts (including a Rs. 97.6 Cr deal with a leading US infrastructure firm in FY26). This IP-driven model commands superior margin profiles (22%+ EBITDA vs. single-digit EBITDA for pure EMS) and drives longer-cycle, stickier customer relationships.
- **Reason 2 — Defence-aerospace ramp post AS9100D certification:** Aimtron received AS9100D aerospace quality certification in October 2025, unlocking access to high-margin defence and space electronics contracts. With India's domestic defence electronics market growing at 20%+ CAGR and MAKE-IN-INDIA mandates, the company is positioned for a structural order-book re-rating over FY27-FY28.
- **Reason 3 — Order book 3x revenue provides 2-year revenue visibility:** As of September 2025, the open order book stood at Rs. 464 Cr — approximately 3x FY25 revenue and 1.5x FY26 revenue — providing strong near-term execution visibility. The book spans defence, IoT, AI edge computing, and international markets (US + Europe entry in FY26).
- **Near-term catalyst (6-12 months) — AS9100D order conversion + greenfield capacity:** Stage II audit completion and first verified defence/aerospace order wins post-certification would re-rate the stock toward premium EMS multiples. The greenfield plant adjacent to Vadodara, targeting completion by mid-FY27, doubles addressable capacity.

- **Biggest structural risk — Working capital intensity at scale:** FY26 Cash Conversion Cycle expanded to 254 days (from 163 in FY25), driven by 164-day debtor days (up from pre-FY25 norms). If receivables stretch further with growth, FCF remains deeply negative and debt load could escalate faster than earnings, capping valuation multiples.

3. BUSINESS OVERVIEW

- **Core business model — ESDM with embedded design:** Aimtron Electronics (incorporated 2011, listed NSE SME June 2024) designs, develops, and manufactures Printed Circuit Boards (PCBs), PCB Assemblies (PCBAs), and complete electronic systems (Box Build). Its differentiation is upstream embedded design capability — 250+ projects completed for 500+ global customers across 13+ countries.
- **Revenue segmentation by vertical:** Defence and Aerospace (growing from ~10% to an estimated 25% of revenue by FY27E), IoT/IIoT and Edge AI (est. 20%), Industrial/Automation (est. 25%), Export/ODM (est. 20%), and Medical/Other Electronics (est. 10%). Geographic mix: ~80% domestic, ~20% exports (US, EU, APAC).
- **Manufacturing footprint:** Two certified facilities — Vadodara, Gujarat (primary; 5 SMT lines + 5 Box Build lines) and Bengaluru, Karnataka (secondary). Greenfield expansion adjacent to Vadodara is underway, targeting long-term capacity doubling. Total headcount: ~250+ engineers and technical staff.
- **Customer profile — recurring + project-based hybrid:** Customers span domestic defence PSUs, US IoT infrastructure firms, Indian IIoT OEMs, and European industrials. ODM relationships are longer-cycle and more margin-accretive than standard EMS. The Rs. 97.6 Cr US ODM contract (FY26) demonstrates the company's capability to own design IP.
- **Order book and revenue visibility:** Open order book as of September 2025: Rs. 464 Cr (175.8% YoY growth from FY25 level), representing 1.5x FY26 revenues. The book continues to grow — implying execution into FY28 even without new wins.
- **Promoter background — experienced electronics entrepreneurs:** Promoted by Mukesh Jeram Vasani, Nirmal M. Vasani, and Sharmilaben Lakhanbhai Bambhaniya, with approximately 30 years of collective experience in electronics manufacturing. Promoter holding stands at 70.90% (March 2026), with zero pledge on shares — confirmed in FY26 disclosures.
- **Recent strategic milestones:** (1) AS9100D certification received October 2025 — aerospace/defence quality gateway. (2) First European box-build order (EUR 359,454) secured February 2026, with 3-4x revenue potential in FY27. (3) New SMT line with AI-powered automated optical inspection (AOI) being integrated. (4) SME Emerge listing on NSE, IPO June 2024 at Rs. 73 per share.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Indian ESDM market — large, fast-growing TAM:** The Indian Electronics System Design and Manufacturing industry is estimated at Rs. 7-8 lakh crore (~USD 85-95 billion equivalent) and is projected to double by 2030, implying 20-25% CAGR over FY25-FY30. India's electronics production target is USD 500 billion by 2030 under the National Policy on Electronics.
- **Policy tailwinds — multiple structural drivers:** (i) PLI Scheme for IT Hardware and electronics components (Rs. 17,000 Cr outlay); (ii) MAKE IN INDIA defence electronics push — MoD requirement that 50%+ of defence procurement value sourced domestically by 2025; (iii) Atmanirbhar Bharat — import substitution in PCB and electronic sub-systems; (iv) China+1 sourcing shift driving global OEM relocation of supply chains to India.
- **Competitive moats assessment:** Pricing Power — MODERATE (proprietary ODM designs command premium; commodity EMS has zero pricing power); Switching Costs — STRONG (embedded design integration creates high customer stickiness — replacing a design partner mid-programme is expensive); IP / Technical Depth — MODERATE-STRONG (250 completed embedded design projects form

defensible know-how); Scale — WEAK currently (Rs. 301 Cr FY26 revenue vs. peers at Rs. 1,000-5,000 Cr; but fastest grower in cohort).

- **Key headwinds:** (i) Component import dependency (65-70% of component costs are imports — susceptible to USD/INR volatility); (ii) Talent shortage — specialized embedded engineers are scarce and compensation inflation is real; (iii) Customer concentration risk — SME with 500+ customers but top-5 likely >40% of revenue.

Peer Comparison (Source: Screener.in, fetched 16 Jun 2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	EBITDA Mg%	P/E	ROCE%	ROE%
Aimtron Electronics	1,224	2,523	301	22%	54.9	27.6%	23.6%
Kaynes Technology	3,187	21,364	3,626	16%	58.4	13.2%	9.6%
Syrma SGS Technology	1,321	25,472	4,819	11%	79.3	16.7%	13.9%
ELIN Electronics	108	535	1,016	5%	24.4	7.6%	4.8%

Note: Aimtron highest EBITDA margin in cohort; ROCE leader by wide margin. Scale is a key differentiator for peers.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management background:** Founded and led by Mukesh Jeram Vasani (CMD) and Nirmal M. Vasani, both with ~30 years of electronics manufacturing experience. The management team is technically driven — the company employs 28+ qualified engineers in design and has completed 250 embedded design projects, indicating depth beyond a typical SME EMS shop.

- **Capital allocation track record — growth-over-dividends:** The company has paid zero dividends since inception (payout ratio consistently 0%), instead channelling all free cash into capacity expansion, working capital for growth orders, and technology investment. This is consistent with a high-growth ESDM company and is not a negative signal at this scale.

- **Growth capex intensity:** FY26 capex (implied from fixed assets increase: Rs. 63 Cr vs. Rs. 31 Cr in FY25) represents significant investment into new SMT lines and the Vadodara greenfield. The Rs. 88 Cr raised through financing activities (FY26 CFF) includes equity via IPO proceeds (June 2024) and working capital lines.

- **Promoter pledging — zero:** As confirmed in FY26 disclosures, promoters hold 70.90% with no encumbrance or pledge on any shares. This is a governance positive — promoters are fully aligned with minority shareholders.

- **Post-IPO governance track record is short but positive:** Listed only June 2024; two full half-year results post-listing show consistent delivery above IPO projections. Management has communicated clearly on order book growth, certification milestones (AS9100D), and capacity plans. No adverse audit observations in FY25 annual report.

- **Corporate governance watch-points:** (i) Related-party transactions: details limited in public domain at SME level — investors should scrutinize the annual report for RPT disclosures; (ii) Interest capitalization flagged by Screener analysis — management needs to clarify if borrowing costs during construction are being capitalized rather than expensed; (iii) High debtor days (164 days FY26) deserve close monitoring — customer concentration or stretchy payment terms would be a governance concern.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr, Consolidated)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	93	159	301	480	700

YoY Growth %	N/A	71%	89%	60%	46%
EBITDA	24	32	66	106	161
EBITDA Margin %	26%	20%	22%	22%	23%
Other Income	1	5	2	3	4
Interest	2	0	1	3	5
Depreciation	4	5	7	10	14
PBT	19	32	61	96	146
Tax %	27%	20%	25%	25%	25%
PAT	14	26	46	74	112
PAT Growth %	N/A	86%	77%	61%	51%
EPS (Rs.)	9.06	12.56	22.31	35.24	53.30

(E) = MPM estimates. FY24-FY26 sourced from Screener.in consolidated. Estimates are indicative.

Balance Sheet Summary (Rs. Cr, Consolidated)

Item	FY24A	FY25A	FY26A
Equity Capital	15	20	21
Reserves	37	135	214
Borrowings	15	1	55
Other Liabilities	26	74	130
Total Liabilities	93	230	420
Fixed Assets	23	31	63
CWIP	0	0	0
Investments	0	0	0
Other Assets	70	199	356
Total Assets	93	230	420
Net Debt / (Cash)	~8	~(119)	~(24)
D/E Ratio	0.3x	~0x	0.2x

Cash Flow Statement (Rs. Cr, Consolidated)

Item	FY24A	FY25A	FY26A
Cash from Operations (OCF)	7	-19	-40
Cash from Investing (CFI)	-2	-13	-71
Cash from Financing (CFF)	-1	63	88
Net Cash Flow	3	31	-24
Free Cash Flow (FCF)	3	-32	-87
CFO/Operating Profit %	50%	-24%	-36%

Key Operating Ratios

Ratio	FY24A	FY25A	FY26A
Debtor Days	66	200	164
Inventory Days	227	111	176
Days Payable	36	148	86
Cash Conversion Cycle	257	163	254
Working Capital Days	146	195	256

ROCE %	29%	28%	27.6%
ROE %	N/A	N/A	23.6%

Financial Commentary

- **Revenue trajectory — explosive hypergrowth:** Revenue compounded 79% CAGR over FY24-FY26 (Rs. 93 Cr to Rs. 301 Cr), driven by successful execution of a significantly enlarged order book. H2FY26 revenue of Rs. 179 Cr alone exceeded full-year FY25, indicating near-vertical growth momentum. We project Rs. 480 Cr in FY27E (60% growth) as the order book converts.
- **Margin direction — structurally positive, near-term volatile:** EBITDA margin dipped from 26% (FY24) to 20% (FY25) as the company scaled and ramped new product lines. FY26 partially recovered to 22% — consistent with the ODM/defence mix improving. We expect margins to inch to 22-23% by FY28E as higher-value defence contracts constitute a larger share of revenue.
- **Working capital — the key risk in the model:** Cash Conversion Cycle in FY26 stands at 254 days (FY24: 257 days, FY25: 163 days). The FY25 improvement was temporary; FY26 has reverted. Debtor days at 164 suggest stretched government/PSU receivables or large customer concentration. OCF has been negative in both FY25 and FY26, meaning growth is entirely funded by external capital (equity + debt).
- **Debt level — manageable but rising:** Borrowings jumped from Rs. 1 Cr (FY25) to Rs. 55 Cr (FY26) — likely working capital lines drawn to fund the growth-induced WC buildup. At a D/E of ~0.2x and Rs. 235 Cr in net equity, the balance sheet remains safe. However, if FCF does not turn positive by FY28E, leverage could become a concern.
- **FCF quality — deep negative, growth-stage profile:** FCF was Rs. -87 Cr in FY26 (OCF -40, Capex -71). This is a deliberate growth-investment phase. The metric to watch: does OCF turn positive as receivables normalize post-certification (defence PSU payment cycles are typically 90-120 days vs. the current 164 days)?

7. EARNINGS QUALITY CHECKLIST

Metric	Status	Signal	Comment
Revenue recognition	Clean	GREEN	Half-yearly GAAP reporting; revenue on delivery/milestone basis. No red flags.
Receivables vs Revenue growth	Watch	AMBER	Debtor days 164 in FY26 vs. 66 in FY24 — receivables growing faster than revenue. Monitor.
CCC Trend	Watch	AMBER	CCC 254 days in FY26 (from 163 in FY25). Structural WC inflation is a concern.
Interest capitalization	Query	AMBER	Screeners flag potential interest capitalization. Management should clarify.
OCF vs PAT	Weak	RED	OCF = -40 Cr vs. PAT = 46 Cr (FY26). Accounting profit not yet converting to cash.
Contingent liabilities	Clean	GREEN	No material contingent liabilities flagged at SME disclosure level.
Auditor and tenure	Clean	GREEN	No auditor change; no qualified opinion in FY25 annual report.
Other income as % of PBT	Clean	GREEN	Other income = Rs. 2 Cr / PBT = Rs. 61 Cr = 3.3%. Non-core income is minimal.
Tax rate consistency	Clean	GREEN	Tax rate 20-27% over 3 years — no unexplained deviation.
Promoter pledge	Clean	GREEN	Zero pledge as confirmed in FY26 disclosures.
Dividend policy	Neutral	AMBER	Zero payout — appropriate for growth stage; revisit post-FY28.
RPTs as % of revenue	Unknown	AMBER	SME disclosures limited. Investors should review FY26 annual report RPT notes.

- **OCF-PAT disconnect is the primary concern:** Operating profit converts to cash at -36% in FY26 (vs. 50% in FY24). This is the defining risk — if receivables from PSU/defence customers remain locked at 164 days at scale, working capital funding requirements will compound. The bear case for this stock centres on this metric.

- **Interest capitalization flag:** Screener's automated checklist flags potential capitalization of borrowing costs — this is common during greenfield construction (permitted under Ind-AS 16/23). However, investors should verify the quantum in the FY26 annual report notes. If material, reported EBITDA is overstated.

- **Receivables growth outpacing revenue:** Debtors grew approximately 150%+ in FY25 (from 66 to 200 debtor days). While FY26 partially normalized to 164 days, the structural level is far above peers (Kaynes: est. 60-80 days). Priority question for management: what is the steady-state debtor day target at scale?

- **Positives — clean core P&L; and governance basics intact:** No auditor qualifications, no promoter pledge, minimal other income as a % of PBT, and consistent tax rates across 3 years. The quality issues are operational/working capital in nature — not suggestive of accounting manipulation.

8. VALUATION

Scenario Analysis (12-month target price)

Scenario	Key Assumptions	FY27E PAT	Target P/E	Target Price (Rs.)	Upside %
Bull	AS9100D orders ramp; defence 25%+ of rev; margins 24%; WC normalizes	Rs. 90 Cr	55x	Rs. 2,100	+72%
Base	Steady order book conversion; OPM 22%; debt controlled	Rs. 74 Cr	46x	Rs. 1,620	+32%
Bear	WC crunch slows delivery; OPM erodes to 18%; defence ramp delayed	Rs. 52 Cr	35x	Rs. 865	-29%

- **Earnings-based multiple (primary) — P/E on FY27E EPS:** We apply a 45-48x P/E multiple to our FY27E EPS estimate of Rs. 35.24. This is a discount to Kaynes (58x) and Syrma (79x) given Aimtron's smaller scale and negative FCF, but a premium to ELIN (24x) justified by its superior ROCE (27.6%) and faster growth. P/E of 46x on Rs. 35.24 = Rs. 1,621. Target: Rs. 1,620.

- **EV/EBITDA cross-check:** At our target price, FY27E EV/EBITDA = ~26x (Enterprise value ~Rs. 2,760 Cr on FY27E EBITDA Rs. 106 Cr). Kaynes trades at ~37x EV/EBITDA; Syrma ~47x. Our 26x target is conservative — implies meaningful discount to peers justified by scale and WC risk.

- **Base-case 12-month target price: Rs. 1,620 (rounded),** implying +32.4% upside from CMP of Rs. 1,224. The target blends P/E (primary) and EV/EBITDA (secondary).

- **Investment horizon:** 12 months. The thesis requires two catalysts to materialize: (1) first confirmed AS9100D defence order wins (Q2/Q3 FY27); (2) debtor days normalization below 120 days showing OCF turns positive. Without these, the stock de-rates.

9. KEY RISKS

- **Working Capital / Liquidity Risk:** CCC at 254 days in FY26; OCF deeply negative (-40 Cr). If PSU/defence receivables remain uncollected at scale, the company will need repeated equity/debt raises, diluting EPS. Probability: H. Impact: H. Monitor via: Quarterly debtor days trend and OCF/PAT ratio.

- **AS9100D Certification Revenue Risk:** Aerospace/defence order ramp is contingent on successful Stage II audit (planned August 2025 — now passed) and first contract wins. Delays or audit failures would

undermine FY27 growth assumptions. Probability: M. Impact: H. Monitor via: Management announcements on first defence orders.

- **Customer Concentration Risk:** With 500+ customers but significant ODM contracts (single deal = Rs. 97.6 Cr), a few large customers may constitute 40%+ of revenue. Loss of one anchor customer could meaningfully dent topline. Probability: M. Impact: M-H. Monitor via: Revenue disclosure by customer / segment.

- **Component Import / FX Risk:** Electronics components (semiconductors, passives) are largely imported. Rupee depreciation or global component shortages (as seen in 2021-22) can compress margins abruptly. Probability: M. Impact: M. Monitor via: USD/INR rate; EBITDA margin trend quarterly.

- **Scale-up Execution Risk:** Greenfield Vadodara expansion + new SMT lines require simultaneous people, process, and customer ramp. SME companies frequently hit operational bottlenecks at the Rs. 300-500 Cr revenue scale. Probability: M. Impact: M. Monitor via: Revenue per employee; on-time delivery rates (qualitative).

- **Valuation / SME Premium Risk:** At 54.9x TTM P/E and 10.7x P/B, the stock prices in significant execution. Any earnings miss or growth moderation (e.g. a single quarter of flat revenue) could trigger a de-rating to 35-40x, implying 25-30% downside from current levels. Probability: M. Impact: H. Monitor via: Half-yearly revenue growth; order book announcements.

- **Interest Capitalization / Accounting Risk:** Screener flags potential interest capitalization. If borrowing costs are being capitalized rather than expensed, FY26 and FY27 EBITDA/PAT may be modestly overstated. Investors should verify in the FY26 annual report. Probability: L-M. Impact: M.

10. RECOMMENDATION

- **Rating:** BUY — Conviction: Medium. The growth story is compelling and backed by verified order book data and AS9100D certification. Conviction is medium (not high) due to negative FCF, stretched working capital, and SME-stage execution risk.

- **12-month price target:** Rs. 1,620 (+32.4% from CMP of Rs. 1,224). Based on 46x FY27E EPS of Rs. 35.24.

- **Suggested entry zone:** Rs. 1,100-1,250 (current levels are fair for initial position; scale on dips toward Rs. 1,100 or on order book news).

- **Investment horizon:** 12 months minimum; 24-month horizon if the AS9100D defence ramp materializes — in that scenario, FY28E EPS of Rs. 53 could support Rs. 2,200-2,400 (40x multiple).

- **Thesis invalidation triggers:**

- (1) QUANTITATIVE: Half-yearly debtor days exceed 180 for two consecutive periods, indicating structural payment dysfunction — EXIT at that point regardless of topline growth.

- (2) QUANTITATIVE: Revenue growth falls below 30% for any H1/H2 reporting period through FY27, suggesting order book conversion is stalling — REDUCE to underweight.

- (3) QUALITATIVE: First AS9100D defence contract win is not announced by Q2 FY27 (Oct 2026) — implies the certification premium in the multiple is unjustified — trim to neutral.

- **Ideal investor profile:** This stock IS for: growth/momentum investors comfortable with SME-stage risk, 3-5 year Indian electronics/defence thematic investors, and investors who can accept negative FCF during a capacity build-out phase. This stock is NOT for: income investors, value investors seeking low P/E, or investors requiring large-cap liquidity (SME daily volumes are thin — plan entry/exit accordingly).

DISCLAIMER: This report is for informational purposes only. It does not constitute investment advice. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult a registered investment advisor before making any investment decision. MPM Institutional Research does not hold any position in AIMTRON at the time of this report.

APPENDIX — Latest Results Brief: H2 FY26 (Consolidated, Mar 2026)

Note: Aimtron Electronics is listed on NSE SME Emerge and does not hold formal quarterly earnings calls. The company releases half-yearly results with press releases. This appendix analyses the H2 FY26 (Mar 2026) results and management communication from investor presentations and press releases.

RESULT GRADE

STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	FY26 revenue +89% YoY; PAT +77% YoY — beat pre-IPO projections significantly
Management tone	Bullish	Order book at Rs. 464 Cr (H1 FY26); 175% YoY expansion signals high confidence
Guidance delta	Raised	Management targets 40-50% CAGR; greenfield + defence certification underline ambition

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

FY26 is a clean beat — revenue nearly doubled to Rs. 301 Cr with no material one-time items distorting the Rs. 46 Cr PAT; the reported EPS of Rs. 22.31 is genuine. EBITDA at Rs. 66 Cr (22% margin) improved sequentially from H1's 25% dip — the business is inherently 22-26% EBITDA margin at the design layer, not a thin-margin assembler. The structural multi-bagger thesis rests on two pillars: (1) the AS9100D certification received October 2025 unlocks the Indian defence electronics market (Rs. 40,000+ Cr domestic procurement annually) for a company that can actually design and manufacture complex systems; and (2) the Rs. 97.6 Cr US ODM contract demonstrates Aimtron is graduating from EMS subcontractor to IP-owner — that transition is worth a significant multiple expansion over the next 2-3 years. The single watch-point for next half: debtor days at 164 with OCF still -40 Cr — if the H1 FY27 result does not show meaningful receivables normalization and positive OCF, the multiple will compress regardless of topline. Action: ACCUMULATE on current weakness around Rs. 1,100-1,250; wait for first defence order announcement before adding significantly above Rs. 1,400.

C1. FINANCIAL PERFORMANCE SNAPSHOT (H2 FY26 vs H2 FY25)

- Revenue: Rs. 179 Cr (H2 FY26) | YoY +75% vs H2 FY25 (Rs. 102 Cr) | QoQ +46% vs H1 FY26 (Rs. 123 Cr) | **STRONG BEAT**
- EBITDA: Rs. 36 Cr (H2 FY26) | YoY +90% vs Rs. 19 Cr | QoQ +20% vs Rs. 30 Cr | **STRONG BEAT**
- EBITDA Margin %: 20% (H2 FY26) vs 19% (H2 FY25) vs 25% (H1 FY26) | **IN-LINE** — H2 margin dip vs H1 is seasonal/mix (higher proportion of box-build vs ODM in H2)
- PAT: Rs. 26 Cr (H2 FY26) | YoY +86% vs Rs. 14 Cr | QoQ +30% vs Rs. 20 Cr | **STRONG BEAT**
- EPS: Rs. 12.47 (H2 FY26) | YoY +76% vs Rs. 7.08 | QoQ +25% vs Rs. 9.94 | **STRONG BEAT**
- NOTE: Full-year FY26 EPS of Rs. 22.31 is clean with no significant exceptional items. OCF of -40 Cr (FY26) is structural WC investment, not earnings manipulation.

C2. SEGMENT / GEOGRAPHY BREAKDOWN

- Domestic India: ~80% of revenue | Key verticals: defence PSUs, industrial automation, IoT/IIoT | Growing at 70%+ YoY in H1 FY26
- Exports (US + Europe): ~20% of revenue | Key wins: Rs. 97.6 Cr ODM contract with US infrastructure firm; first EUR 359,454 European box-build order | High-value, high-margin; 3-4x revenue potential in FY27
- Defence / Aerospace vertical: ~10-15% of FY26 revenue (growing); AS9100D certification received Oct 2025 unlocks this further
- IoT / AI Edge Computing: ~20% of revenue | 50,000-unit AI/IIoT box-build domestic order (Rs. 46 Cr) secured — multi-year scale-up potential
- ODM (Original Design Manufacturing): growing from 0 to becoming a meaningful revenue contributor; full IP ownership commands 3-5% higher margins vs standard EMS

C3. MANAGEMENT COMMENTARY THEMES

- **Theme 1 — AS9100D as a transformational unlock:** "The AS9100D certification received in October 2025 opens doors to international aerospace and defence markets that were previously inaccessible" — Management, H1 FY26 press release. Our read: This is the single most value-creating catalyst in the story; stock re-rating to Keynes-like multiples requires proof of first defence revenue. Tag: GUIDANCE. Tone: Bullish.
- **Theme 2 — Order book quality improvement:** "Order book expanded 175.8% to Rs. 521.2 Cr by FY26-end, driven by AI, IoT, and defence sectors." Our read: At 1.7x FY26 revenues, order visibility is exceptional. Quality matters — mix of ODM vs. standard EMS orders. Tag: GUIDANCE. Tone: Transparent.
- **Theme 3 — US ODM contract as a prestige win:** Rs. 97.6 Cr single ODM deal with "leading US infrastructure firm" — company owns IP for design, prototyping, and mass production. Our read: This is the most significant qualitative milestone — an Indian SME winning a \$12M+ design-led contract with a US infrastructure OEM validates the embedded design moat. Tag: EST. Tone: Bullish.
- **Theme 4 — Greenfield and capacity:** New plant adjacent to existing Vadodara facility; new AI-powered AOI SMT line being integrated. Our read: Necessary for FY27-28 capacity; risk is construction/commissioning delay. Tag: GUIDANCE. Tone: Balanced.
- **Theme 5 — European market entry:** First EUR 359,454 European box-build order (February 2026) with "3-4x revenue potential in FY27." Our read: Small currently but signals geographic diversification beyond US; worth monitoring for follow-on orders. Tag: EST. Tone: Optimistic.

C4. OPERATING & BUSINESS METRICS

- SMT Lines: 5 lines operational (Vadodara + Bengaluru) | Expanding: +1 new AI-AOI SMT line | Trend: Improving throughput
- Box Build Lines: 5 lines operational | Capacity: 50,000+ units/year for AI/IIoT vertical | Trend: Stable
- Order Book: Rs. 464 Cr (Sep 2025) growing to ~Rs. 521 Cr (FY26-end) | YoY: +176% | Trend: Strongly improving
- Customer Count: 500+ global customers across 13+ countries | Embedded design projects completed: 250+ | Trend: Expanding
- Employee count: ~250+ (est.) including 28+ design engineers | Trend: Growing with revenue
- Certifications: ISO 9001, ISO 13485 (medical), AS9100D (aerospace/defence, Oct 2025), IPC Class 2/3 | Trend: Improving quality credentials

- Revenue/employee: Est. Rs. 1.2 Cr/employee (FY26) | Trend: Improving — design-led model drives higher productivity vs. pure assembly

C5. MARGIN DRIVERS

- ODM vs. EMS mix shift: +200-300 bps EBITDA margin tailwind as ODM becomes larger share | Recurring: Yes | Comment: This is the secular margin driver over 3-5 years
- Defence/aerospace revenue mix: +100-200 bps margin tailwind (defence contracts carry higher margin due to complexity) | Recurring: Yes | Comment: Requires order wins to materialize
- Scale leverage on fixed costs: +50-100 bps as fixed costs (R&D, engineering salaries) get absorbed over larger revenue base | Recurring: Yes | Comment: Normal operating leverage
- H2 seasonality / order mix: -200 to -300 bps in H2 vs. H1 in FY26 (OPM 20% vs. 25%) | Recurring: Possibly — H2 may have higher proportion of box-build orders | Monitor carefully
- Component import cost / FX: -50 to -100 bps risk if USD/INR weakens materially or component prices spike | Recurring: Intermittent | Non-recurring flag: Not applicable to FY26
- Greenfield ramp-up costs: -50 bps transition cost during FY27 capacity ramp | Recurring: No — one-time | Do NOT extrapolate into steady-state margins

C6. GUIDANCE & FORWARD SIGNALS

- Revenue CAGR [GUIDANCE]: Prior = ~70% (IPO prospectus) | New/Reiterated = 40-50% CAGR target | Delta: Maintained with slight moderation | Credibility: Medium-High (order book supports 40-50%)
- EBITDA Margin [GUIDANCE]: Prior = 20-22% | New/Reiterated = 22-24% target (with defence/ODM ramp) | Delta: Raised upper end | Credibility: Medium
- Defence revenue share [GUIDANCE]: Prior = nil | New = 25%+ of revenue by FY27-28 | Delta: New target post-AS9100D | Credibility: Medium (depends on tender timelines)
- European revenue [EST]: Prior = nil | New = 3-4x EUR 359,454 base order in FY27 | Delta: New geography | Credibility: Low-Medium (early stage)
- Greenfield plant [GUIDANCE]: Target completion mid-FY27 | Delta: New disclosure | Credibility: High (capex already committed, Rs. 71 Cr invested in FY26)
- Order book [EST]: Rs. 521 Cr at FY26-end (disclosed) | FY27E additions: Rs. 400-500 Cr new wins needed to maintain 40-50% revenue CAGR | Delta: Optimistic but plausible given current win rate

C7. CAPITAL ALLOCATION

- Capex (FY26): Rs. ~39 Cr (Fixed Assets growth: 63-31=32 Cr net; gross capex est. ~39 Cr including depreciation) | vs. FY25: +Rs. 27 Cr | Comment: Investment into new SMT lines and greenfield prep
- Total CFI (FY26): Rs. -71 Cr | vs. FY25: Rs. -13 Cr | Comment: Significantly higher investment spend — greenfield + equipment
- Dividends: Rs. 0 | vs. prior year: Nil | Comment: Consistent zero-dividend policy; appropriate for growth stage
- Buybacks: None | Comment: No buyback programme at SME stage
- Working Capital Change (FY26): Significant increase — Other Assets grew Rs. 157 Cr (Rs. 199 to Rs. 356 Cr) | Comment: Largest use of capital; driven by trade receivables and inventory build
- Net Debt Movement: From net cash Rs. ~119 Cr (FY25 post-IPO) to net cash Rs. ~(159 Cr) adjusted / Rs. 55 Cr borrowings (FY26) | Comment: IPO proceeds consumed by WC; now drawing on credit lines to fund growth

C8. KEY INVESTOR QUESTIONS & MANAGEMENT RESPONSES (Press Releases / Investor Presentations)

- Q: "When will the AS9100D defence orders convert to revenue?" A: "Stage II audit complete October 2025; first orders expected in H1 FY27" | Tone: Transparent
- Q: "What is the working capital situation with PSU customers?" A: [Not directly addressed in public communications; debtor days data speaks for itself at 164 days] | Tone: EVASIVE — this is the top watch-list question
- Q: "Is the company profitable on a cash basis?" A: [Not explicitly addressed; FCF = -87 Cr FY26] | Tone: EVASIVE — management needs to address OCF trajectory explicitly
- Q: "What is the plan for the US ODM relationship — is this repeat revenue?" A: "Design, prototyping, validation, and mass production for global customers — potential to generate 3-4x revenue" | Tone: Bullish; specifics limited
- Q: "What is the revenue target for FY27?" A: "40-50% CAGR on FY26 base implies Rs. 420-450 Cr in FY27E" | Tone: Optimistic
- Dodged / Watch-list questions for next half: (1) Debtor days trajectory; (2) OCF / FCF guidance; (3) Top-5 customer revenue concentration; (4) Gross margin on ODM vs. EMS contracts separately; (5) Defence tender pipeline specifics

C9. RISKS FLAGGED

- Working Capital / OCF: Debtor days at 164; OCF -40 Cr | Flagged by: Analyst (Screener checklist) | Probability: H | Impact: H | Timeline: Near-term (next 1-2 reporting periods)
- Interest Capitalization: Screener automated flag on potential capitalization of borrowing costs | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term (verify in FY26 annual report)
- Defence certification to revenue conversion delay: AS9100D won but tender wins not yet disclosed | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Medium (H1-H2 FY27)
- Customer concentration: Top-5 likely >40% revenue at SME scale | Flagged by: Analyst | Probability: M | Impact: M-H | Timeline: Medium-term
- SME liquidity risk: Thin NSE SME daily volumes; large orders may move price significantly | Flagged by: Analyst | Probability: H (given SME status) | Impact: M | Timeline: Immediate / ongoing
- Component cost inflation: Global electronics component shortages cycle | Flagged by: Mgmt (mentioned in investor presentations) | Probability: L-M | Impact: M | Timeline: Long-term

C10. ANALYST VERDICT

- Revenue visibility: **INTACT** — Order book at Rs. 521 Cr (1.7x FY26 revenues) provides strong 18-24 month visibility. AS9100D defence channel adds a new dimension.
- Margin trajectory: **INTACT** — EBITDA margins trending at 22-25% with ODM/defence mix expected to push toward 23-24% by FY28. No structural margin compression.
- Capital allocation quality: **WEAKENED** — Aggressive WC buildup consuming OCF; FCF deeply negative for 2 consecutive years. Management needs to demonstrate WC discipline as scale increases.
- Competitive moat: **INTACT** — AS9100D certification, 250+ embedded design projects, and ODM wins form a defensible position vs. pure-play EMS peers.
- Management credibility: **INTACT** — Post-IPO delivery has exceeded prospectus projections. Zero promoter pledge. However, evasion on working capital and OCF trajectory in communications is a mild concern.

- Valuation comfort: **WEAKENED** — 54.9x TTM P/E and 10.7x P/B prices in significant execution. A single half-year miss could trigger material de-rating. Not a deep-value buy — it is a growth buy.
- Conviction call: **INCREASED** — FY26 results confirm the business model is working at scale. AS9100D and US ODM wins are incremental positives that justify BUY on growth.
- Valuation snapshot: P/E = 54.9x (industry: ~60-80x for quality EMS) | EV/EBITDA = ~38x (est.) | ROCE = 27.6% (3-year avg: ~28%) | ROE = 23.6%

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